Edexcel A Level Business

Your notes

1.5 Entrepreneurs & Leaders

Contents

Your notes

Entrepreneurs create and set up businesses

- Businesses are usually started by an **entrepreneur**
- An entrepreneur is a person who is **willing and able to create a new business idea** or invention and **takes risks** in pursuing success
  - Successful entrepreneurs can identify and pursue opportunities, **create value for customers** and build thriving businesses

What do entrepreneurs do?

Organise Resources	Make Business Decisions	Take Risks
▪ An entrepreneur must be able to gather and **coordinate the resources** necessary to start and operate a business ▪ E.g. When Michael Dell started his computer company from his garage, **he had to organise resources**, such as space, computers, software tools and employees, and manage the finances	▪ Entrepreneurs must be able to make decisions that will determine the **success or failure of their business** ▪ E.g. A restaurant owner may need to decide what type of food to serve, where to locate the restaurant and **what prices to charge**. These decisions require a combination of market research, creativity and business skill ▪ Making the wrong decisions can lead to wasted resources, lost opportunities and **ultimately business failure**	▪ Entrepreneurship involves taking risks — financial, personal or professional ▪ E.g. an entrepreneur may invest their life savings into a new venture or **quit a secure job** to start their own business ▪ They may also take risks by **introducing new products** or entering new markets ▪ These risks can pay off with great rewards, but they can also lead to failure and financial loss

Entrepreneurs run and develop existing businesses

- There are many examples of successful entrepreneurs who have been **brought in to run or expand an existing business**

- These individuals bring a unique **entrepreneurial spirit** into the business, which helps to drive it forward and expand

Examples of entrepreneurial CEOs

- **Howard Schultz**
  - In 1982, Schultz was hired by Starbucks as Director of Retail Operations and Marketing
  - He later left to start his own coffee company but **returned to Starbucks** in 1987 as CEO
  - Under his leadership, **Starbucks expanded globally** and became one of the most recognised brands in the world
- **Marissa Mayer** was brought in to lead Yahoo! in 2012 as CEO
  - She implemented several initiatives to revitalise the struggling company, including **acquisitions**, product improvements and a renewed **focus on mobile applications**

Employees demonstrate entrepreneurship within a business

- **Intrapreneurship** refers to the practice of **promoting entrepreneurial thinking and behaviour** within an existing business
  - It involves empowering employees to **think and act like entrepreneurs**
  - The business encourages them to **take risks, innovate and develop new ideas** and projects that may benefit the business
- Intrapreneurship allows businesses to **tap into the creative potential** of their employees and generate new products, services or processes that can drive growth and **competitive advantage**
- This helps to create a **culture** that generates a sense of ownership and engagement among employees, which **increases motivation** and helps to retain top talent
- To promote intrapreneurship, businesses may provide resources to employees or offer **incentives/rewards** for successful projects

Examples of intrapreneurship

Google	Sony PlayStation	3M
- In 2004, Google introduced Gmail, a **free email service** that quickly gained popularity due to its large storage capacity and intuitive interface	- In the early 1990s, a group of **engineers at Sony proposed the idea of creating a video game** console to compete with Nintendo and Sega	- **3M's "15% rule"** is a policy that allows employees to spend up to 15% of their work time pursuing projects outside of their normal job

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▪ Gmail was developed by a team of Google employees as part of the company's **"20% time" policy** ▪ This policy allows employees to spend 20% of their work time on **personal projects** ▪ Gmail became a **huge success** and is now one of the most widely used email services in the world	▪ Senior management initially rejected the proposal ▪ Sony engineers persisted, and **a senior executive** eventually supported them ▪ **Sony PlayStation** was launched in 1994 and quickly became one of the most popular gaming consoles of all time	▪ **Post-It Notes** were developed by two employees, Spencer Silver and Art Fry ▪ Post-It Notes were initially marketed as a solution for bookmarking pages in books, but they quickly became popular for all sorts of purposes ▪ Today, they generate **billions of dollars** in annual revenue for 3M

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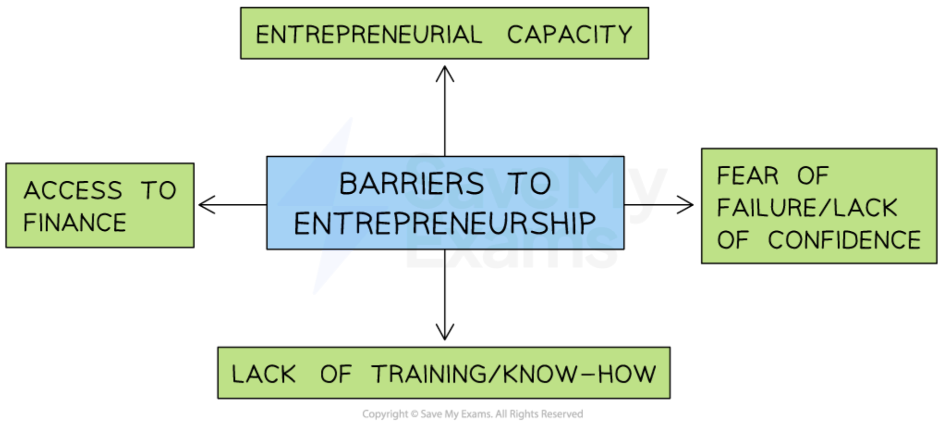
Barriers to entrepreneurship

- Entrepreneurship can be a challenging journey, and many barriers can prevent individuals from **starting or growing** a successful business

Significant barriers to entrepreneurship



Identifying barriers to entrepreneurship can help a business or individual overcome them

Entrepreneurial capacity

- Entrepreneurial capacity refers to an individual's ability to think creatively, take risks and identify and seize business opportunities

Access to finance

- Many aspiring entrepreneurs struggle to secure the funding necessary to start or grow their businesses
- Lack of access to finance is a major barrier to entrepreneurship, especially for those from disadvantaged backgrounds

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Lack of training/know-how

- Starting and growing a successful business requires a range of skills, including marketing, finance, management and leadership
- Aspiring entrepreneurs may struggle to develop a viable business plan, attract customers or manage their finances effectively

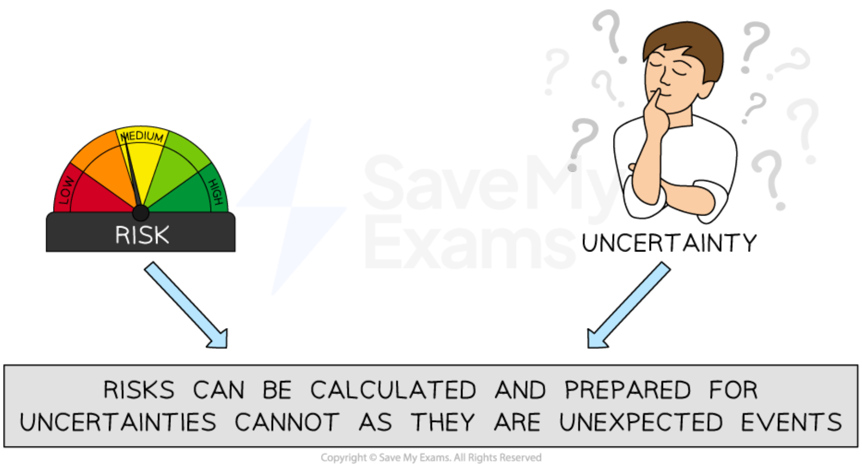
Fear of failure / lack of confidence

- Entrepreneurship is inherently risky
- Entrepreneurs may hold back for fear of failure or a lack of confidence
- They may worry about the financial risks involved in starting a business or fear the stigma of failure

Entrepreneurs anticipate risk and uncertainty

- Risk is something an entrepreneur **can plan for**
  - The **probabilities of outcomes** are known or at least understood and considered
  - Risk-taking is a conscious decision, and often in business, the greater the risk, **the greater the reward**

Risk vs. uncertainty



The difference between risk and uncertainty

- Uncertainty is caused by factors **outside of the entrepreneur's control**
- Factors that typically cause uncertainty include:
  - **Environmental factors**, such as the Japanese Tsunami in March 2011
  - **Economic changes**, such as Covid lockdowns, Brexit or collapses in the banking system

    - The entry of new competitors
    - Changes in local and national **legislation (laws)**
    - Changes in the **political party** governing the country
- Successful entrepreneurs can **manage risk and quickly respond to uncertainty** in the business environment

Example: responding to uncertainty

Brian Chesky (Co-founder) & Airbnb Response to the Covid-19 Pandemic
▪ In 2020, the COVID-19 pandemic caused many people to **cancel their travel plans** and stay home to avoid exposure to the virus ▪ This had a major impact on Airbnb's business ▪ Rather than wait for the pandemic to pass, Chesky quickly **pivoted his business strategy** to meet the changing needs of their customers ▪ Airbnb launched a new service called **"Online Experiences"**, which allowed people to participate in virtual tours, cooking classes and other experiences **from the comfort of their own homes** ▪ Airbnb also took steps to address the health and safety concerns of its customers by **implementing enhanced cleaning protocols** and providing hosts with a guide on how to **prepare their homes for guests** during the pandemic ▪ By quickly pivoting his business strategy and addressing the concerns of his customers, Chesky was able to drive his business forward and **position Airbnb for continued success** in the future

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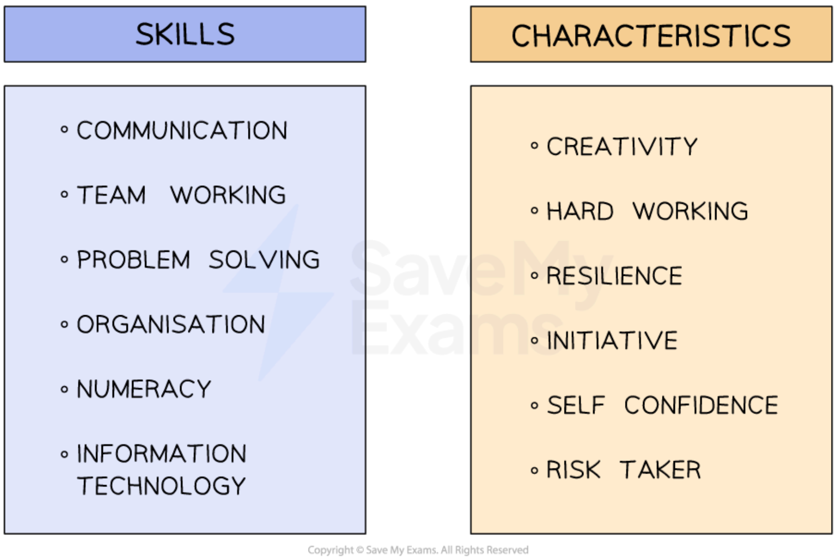
Characteristics and skills required by entrepreneurs

- Entrepreneurs require a **unique set of characteristics and skills**

Entrepreneurial skills and characteristics



The skills and personal characteristics commonly required by entrepreneurs

- The characteristics have been explained through the different sections in 1.5.1
- Perhaps one of the most valuable skills of an entrepreneur is the ability to **communicate persuasively**:
  - Persuade potential financial backers of the merits of their idea
  - Persuade people to join them in creating the product/service
  - Persuade customers of the value of their product/service
- All of these skills work together to **create and drive an innovative idea** towards success

Reasons why people set up businesses

- People set up businesses for a variety of financial and non-financial reasons

Financial and non-financial reasons for setting up a business

Financial reasons	Explanation	Example

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Profit maximisation	▪ People want to create a profitable business that generates substantial **revenue and profit** for themselves and their shareholders	▪ **Amancio Ortega**, the founder of **Zara**, built a fast-fashion empire that has become one of the **most profitable clothing retailers** in the world
Profit satisficing	▪ Occurs when the entrepreneur is not solely focused on maximising profits but rather achieving a **satisfactory level of profit** ▪ This is common among small businesses, in which the owner may prioritise their **work-life balance**	▪ **Yvon Chouinard,** the founder of **Patagonia**, created a successful outdoor clothing and gear company that was initially built to **help finance his climbing expeditions**
Non-financial reasons	**Explanation**	**Example**
Ethical stance	▪ Some entrepreneurs may have a particular ethical stance **(e.g. environmental sustainability or social justice)** that they want to build their business around	▪ **Anita Roddick** started The Body Shop, as she wanted to create a company that would promote **environmental sustainability, fair trade** and human rights
Social entrepreneurship	▪ These entrepreneurs aim to create a business that **seeks to address a social or environmental problem** while also earning a living	▪ **Blake Mycoskie**, the founder of **TOMS Shoes**, created a business model that donates a pair of shoes to a child in need for every pair sold
Independence	▪ Many people want to be their own boss and have control over their work ▪ They may be **dissatisfied with traditional employment structures** or desire the freedom and flexibility that comes with running their own business	▪ **Travis Kalanick and Garrett Camp**, the co-founders of Uber, started their business with a **desire for independence** and the ability to work from anywhere

Your notes

Home working	▪ With the advent of technology, many people have started businesses from their homes, and this offers them **more flexibility** and a better work-life balance	▪ **Sara Sutton**, the founder of **FlexJobs,** had a desire for independence and the ability to work from home, and this led her to create a successful online job board that **specialised in remote and flexible work** opportunities

Survival and profit maximisation

- Businesses can have a **range of objectives** when they start up
  - These objectives may change over time
- The aim of most start-up businesses is to **survive the initial entry** into the market and to generate enough **cash flow** to remain in business
  - **Effective cash flow management** is more important than gaining an income or seeking profit maximisation
- Once that has been achieved, the business objective usually switches to **profit maximisation**
  - Profits benefit shareholders as they receive **dividends** and increase the underlying share price
    - An increase in the underlying share price increases the **wealth** of the shareholder

Other business objectives

- Business objectives may change over time
- The core objective usually remains profit maximisation, but the business may choose to also focus on a range of other objectives
  - E.g. If a business focuses on employee welfare, it will increase its costs but raise the morale and productivity of its workers
    - The increased costs will reduce the level of profit **in the short term**
    - However, it may **lower costs in the long term**, as the business can retain employees, which lowers recruitment and training costs

Common business objectives

Objective	Explanation
Sales maximisation	▪ The focus is on generating the **maximum revenue possible** by selling its products/services ▪ The firm should raise prices to achieve revenue maximisation when its product is price inelastic in demand ▪ The firm should lower prices to achieve revenue maximisation when its product is price elastic in demand (see subtopic 1.2.4 for more information)

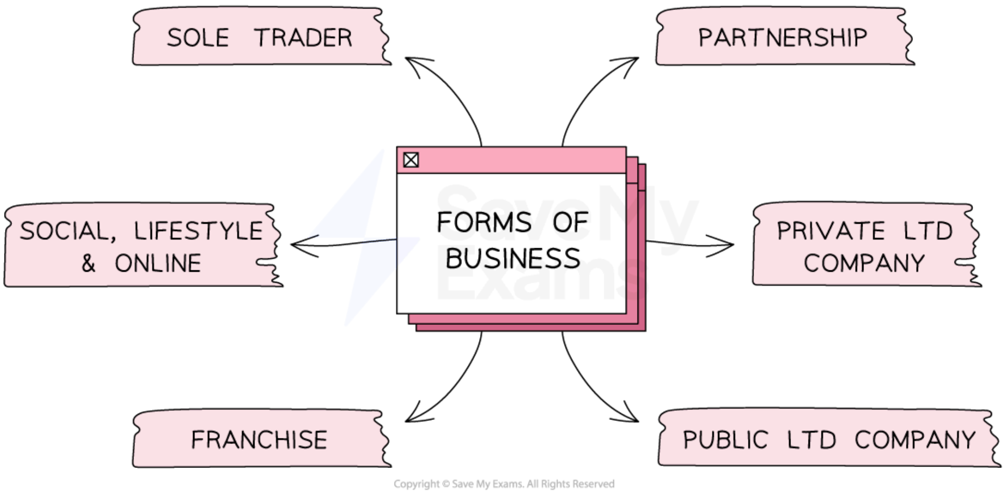
Your notes

Market share	▪ Market share refers to the **percentage of total sales in a particular market** that a company holds ▪ A business may aim to increase its market share by producing and selling **better-quality products than its competitors**
Cost efficiency	▪ Cost efficiency refers to a company's ability to produce and deliver its products at the **lowest possible cost** ▪ This objective is crucial for companies that operate in **highly competitive markets**, as low costs enable them to compete with low prices
Employee welfare	▪ This objective refers to a company's commitment to providing a **healthy and safe working environment** for its employees ▪ A business may aim to promote employee welfare by offering competitive wages and **comprehensive benefits packages**, as well as promoting a healthy work-life balance
Customer satisfaction	▪ A business may aim to achieve customer satisfaction by **delivering high-quality products**, providing excellent customer service and offering attractive pricing ▪ E.g. A restaurant may aim to achieve customer satisfaction by offering a welcoming atmosphere, friendly service and delicious food
Social objectives	▪ Social objectives refer to a company's commitment to addressing **social or environmental issues** ▪ This objective is increasingly important for businesses that aim to operate sustainably and **build a positive reputation** ▪ E.g. Superdry aims to reduce its environmental impact by using sustainable materials and minimising waste, while also promoting fair labour practices and contributing to social causes in the communities where it operates

Common forms for start-up businesses

- When an entrepreneur starts a business, they will often start operating as a **sole trader**
- Over time, they may change the form of business to **gain more funding** or **provide more security** for the owners with **limited liability**

Legal forms of business



The different types of business structures available to the owners

- Three of the most common forms of business at start-up are sole traders, partnerships and private limited (Ltd) companies
- Each one of these forms has various advantages and disadvantages associated with its structure

Sole trader

- A business that has a single owner (although they may still hire employees) with unlimited liability
- **Advantages** include:
  - They are easy and inexpensive to set up
  - The owner has **complete control** over the business
  - All profits belong to the owner
  - Simple tax arrangements
- **Disadvantages** include:
  - The sole trader is **responsible for any debts** the business incurs

- Limited access to finance and capital
- Limited skill set of the single business owner

Partnership

- Two or more people join together to form a business
  - Examples of this type of business include lawyers and accountants
- **Advantages** include:
  - Easy to set up and inexpensive
  - Shared responsibilities and decision-making
  - **More skills and knowledge are available**
  - Increased access to finance and capital
- **Disadvantages** include:
  - Partners have unlimited liability
  - **Potential for disputes** between partners
  - **Profits are often shared equally**, regardless of contribution
  - Difficult to transfer ownership

Private limited company

- The ownership of the business is broken down into a **specified number of shares**
  - These shares can be sold by the owner, usually to friends and family or to **venture capitalists**
  - Decision-making often rests with the person appointed to run the company, often called the **managing director or CEO**
- **Advantages** include:
  - **Limited liability**, meaning the owners are not personally responsible for the company's debts
  - **Access to greater finance** and capital
  - Easier to transfer ownership
  - Can have a professional image and reputation
- **Disadvantages** include:
  - More **expensive and time-consuming to set up**
  - More complex legal requirements and regulations than sole traders
  - Annual financial reporting and auditing are required

Your notes

- Shareholders have little control over the company, as the **founder usually imposes their agenda**

Your notes

Other forms of business

- Several other forms of business have also gained prominence in recent years, including **franchising**, social enterprises and lifestyle and online businesses
- There is a growing trend in setting up **lifestyle businesses** as people demand flexibility and a better work-life balance

Franchising

- Franchising is a business model in which an **individual (franchisee)** buys the rights to operate a business model, branding and support from a **larger company (franchisor)** in exchange for an initial lump sum plus ongoing fees called **royalties**
- The franchisee operates the business under the **franchisor's established system** and receives training, marketing support and ongoing assistance
  - E.g. Domino's Pizza, KFC, Burger King

Advantages	Disadvantages
▪ Lower risk of failure because the franchisee is using an established brand and proven business model	▪ High initial costs and ongoing fees (e.g. royalties, advertising contributions) reduce profit margins
▪ Support and training provided by the franchisor (e.g. marketing, operations, supplier networks), which makes running the business easier	▪ Less independence, as the franchisee must follow strict rules and cannot make major changes without approval

Social enterprises

- A social enterprise is a business that has the **primary purpose of creating a social or environmental impact** (in addition to generating profits)
- **Profits are usually reinvested back** into the business, used to create positive social change or address an environmental issue
- E.g. Warby Parker is an eyewear company that donates a pair of glasses to someone in need for every pair of glasses sold

Advantages	Disadvantages
▪ Ability to combine making money with achieving a positive social or environmental impact, which can be personally rewarding	▪ Access to finance can be difficult, as investors may be cautious about limited profit opportunities

▪ Stronger customer loyalty and community support, as people may be more likely to buy from an ethical business	▪ Balancing social goals with financial sustainability can be challenging and may limit growth

Your notes

Lifestyle businesses

- Lifestyle businesses are typically **small, owner-operated businesses** that prioritise a specific lifestyle or personal interest of the owner over profits or growth
- These businesses are often run from home or in a location that allows the owner to maintain a particular lifestyle or work-life balance
  - E.g. yoga instruction, personal training, business coaching

Advantages	Disadvantages
▪ Owners can prioritise personal goals, such as work-life balance, travel or flexible hours, rather than focusing purely on maximising profit	▪ Limited potential for growth, as expansion might conflict with the owner's lifestyle objectives
▪ Opportunity to run a business based on personal interests or passions, making work enjoyable and motivating	▪ Financial returns may be lower compared to other business models, especially if the owner chooses to satisfice rather than maximise profit

Online businesses

- Online businesses often have **low overhead costs and can operate from anywhere** with an internet connection
- These businesses are still **required to have a legal structure**, such as a sole trader or a private limited company
  - E.g. e-commerce stores, online courses and software as a service (SaaS) companies, such as **Save My Exams**

Advantages	Disadvantages
▪ Lower start-up costs compared to a physical location, as there is no need to rent or maintain premises	▪ High competition online makes it difficult for a new business to stand out
▪ Ability to reach a wide customer base beyond the local area, as products can be sold nationally or even internationally	▪ Reliance on technology and delivery services, meaning website issues or shipping delays can harm customer satisfaction

Your notes

Becoming a public limited company (PLC)

- When a business is growing rapidly, it may **require a significant amount of capital** to fund its expansion
- To secure this funding, it may choose to transition from a **private limited company (LTD) to a public limited company (PLC)**, thereby allowing the **sale of shares on the stock market**
- This is a complex process with many legal requirements and involves undergoing a **stock market flotation**

Benefits of becoming a public limited company

Advantage	Explanation
Access to Capital	▪ Significant amounts of capital can be **raised very quickly** ▪ This is often a more cost-effective way to raise capital than borrowing money from banks or other lenders
Shared risks	▪ The risks associated with ownership are **spread among a larger group of shareholders** ▪ This reduces the financial risk to any one individual
Increased liquidity	▪ A company's shares become more liquid (they can be bought and sold more easily) on a **public stock exchange** ▪ This can increase the value of the company's shares and make it **easier for shareholders to buy/sell** shares
Extended decision-making	▪ The company will have a **board of directors** made up of independent directors and representatives from major shareholders ▪ This can extend the **decision-making process** and bring in additional expertise/perspectives that can help the company grow and expand
Greater public profile	▪ Becoming a PLC can raise a company's public profile and **increase its visibility** with customers, suppliers and potential investors ▪ This increased visibility can **help the company attract new business** and grow its customer base

- The top three **initial public offerings** as of March 2023 are:

- The Saudi Arabian oil company **Saudi Aramco** raised $29.4 billion in its IPO in December 2019
- The Chinese e-commerce company **Alibaba Group** raised $25 billion in its IPO in 2014
- The Japanese telecommunications company **SoftBank Corp.** raised $23.5 billion in its IPO in 2018

Examiner Tips and Tricks

When assessing the best form of business to be used in a particular situation (or if a business should change its form), the decision needs to consider any evidence provided about the business owner, the product, the nature and size of the market, the funds required and the level of profitability. For example, a business that is generating sales of £30k a year is unlikely to be ready to become a public limited company, but it may well benefit from transitioning from a sole trader to a private limited company.

Your notes

Definition of opportunity cost

- **Opportunity cost is the loss of the next best alternative when making a decision**
  - Due to the **problem of scarcity**, **choices have to be made** about how to best **allocate limited resources** amongst competing wants and needs
- There is an **opportunity cost** in the allocation of resources
  - When a **consumer** chooses to purchase a **new phone**, they may be **unable to purchase new jeans**. The jeans represent the loss of the next best alternative (**the opportunity cost**)
  - When a **business** decides to allocate all of its resources to **producing electric vehicles**, it may be **unable to produce petrol vehicles**. The petrol vehicles represent the **loss of the next best alternative** (the opportunity cost)
  - When a **government** decides to **provide free school meals** to all primary students in the country, it may be **unable to fund some rural libraries**, which may have to close. The libraries represent the loss of the next best alternative (**the opportunity cost**)

Business choices and trade-offs

- An understanding of opportunity cost may **change many decisions** made by businesses
- Factoring the **opportunity cost** into a decision often results in different outcomes and a different **allocation of resources**
- A **trade-off** occurs when two things cannot be fully achieved
  - Having **more of one thing** may mean having **less of another**

Examples of Potential Trade-Offs

Focus	Explanation of the trade-off
Product	▪ Choosing to spend money **upgrading an existing product** may result in the loss of the next best alternative, which could be research and development on a new product
Customer sales	▪ A firm selling organic avocados is offered a **supply contract** by a supermarket that wants to buy all of their stock each month, but at a low price ▪ The supermarket is a **prestigious** customer ▪ The firm decides **not to accept** the contract, as the **opportunity cost** (loss of a prestigious customer) is worth less than the lost revenue to existing customers

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Market research	▪ **Foregoing market research** may help the business to **get its product to market quicker** ▪ However, the trade-off is that the product may not have the features/qualities desired by the market
Business ownership	▪ Choosing to operate as a partnership will mean that a business loses the benefits of operating as a **private limited company (Ltd)**
Promotional methods	▪ Businesses have a limited amount of money to spend on promoting their products. Choosing to **sponsor an elite athlete** means that the business may have to **give up other forms of promotion**, such as radio advertising
Pricing strategy	▪ If a business decides to use a **competitive pricing strategy**, it loses the opportunity to **price-skim**

Transitioning from an entrepreneur to a leader

- Moving from an entrepreneur to a leader can be a **challenging transition**
- The **skills and mindset** required to successfully launch and grow a business are often different from those required to lead and manage a team

A comparison of entrepreneurial and CEO leadership

Entrepreneur	Leader/CEO
▪ Brilliant tactician ▪ Single-minded in pursuit of a goal ▪ Unshakeable self-confidence ▪ One-to-one persuader ▪ Idea generator	▪ Brilliant strategist ▪ Inspiring figurehead ▪ Gravitas and presence ▪ Able to reassure large groups ▪ Idea prioritiser

- Some entrepreneurs are **unable to make this transition** and have to hire a CEO with whom they can work very closely to drive the business forward

Difficulties in transitioning from entrepreneur to leader

The need to delegate	Trust and verify	Learning to listen
▪ Entrepreneurs need to learn to **delegate tasks and responsibilities** to others ▪ This can be difficult for entrepreneurs who are used to having control over every aspect of their business	▪ As a leader, it's important to **trust** your team members to do their jobs effectively ▪ It's also important to verify that **tasks are being completed** correctly and on time ▪ Finding the right balance between **trusting your team and verifying their work** can be a challenge	▪ Entrepreneurs are often driven by their ideas and visions ▪ As a leader, it's important to listen to the ideas and perspectives of others

Having an open mind	Being less reactive	Developing emotional intelligence
▪ Leaders need to be **open to new ideas** and willing to adapt to changing circumstances	▪ Entrepreneurs are often used to taking **quick action** and making decisions on the fly ▪ As a leader, it's important to take a **more strategic and measured approach** to decision-making	▪ Leaders need to be able to understand and manage their own emotions, as well as the emotions of their team members ▪ Many entrepreneurs are used to being driven by **passion and enthusiasm** rather than emotional intelligence and empathy

Your notes